

Bias Audit and Candidate Notice Practice Among 301 New York City Employers

A point in time observation of publicly available hiring disclosures under New York City Local Law 144

Prepared by	Greenpoint AI Compliance
Data collection	Greenpoint AI Compliance
Observation window	2 September to 7 September 2026
Sample	301 employers with verified live New York job postings
Classification	Educational research. Not legal advice.

SECTION ONE

Executive Summary

One employer in this sample of 301 satisfies both requirements of Local Law 144. The other 299 employers to whom the obligations attach fall short on at least one requirement, and the great majority fall short on both.

This study treats an employer as compliant only where two conditions hold together. A published bias audit summary must exist and must be specific to that employer's use of the automated employment decision tool. A candidate notice must appear on the job listing. Failing either is non compliance. The headline rate is 99.7 percent, and that figure understates what the data shows, because the two requirements fail at very different rates and for different reasons.

Table 1. Compliance outcomes across the in scope sample.

Outcome	Employers	Share of 300
Both requirements met	1	0.3%
Audit missing, notice present	66	22.0%
Audit present, notice missing	0	0.0%
Both missing	233	77.7%
Non compliant, all modes	299	99.7%

The audit requirement is the binding failure. Of 300 employers in scope, 299 have no employer specific bias audit summary. Four others publish or link a vendor produced summary, treated separately in Section Five because it does not by itself discharge the obligation.

Candidate notices are far more common, and their presence tracks the applicant tracking system. Sixty seven employers display a candidate notice. Among employers on Ashby, 96.2 percent display one. Among employers on Lever, 79.2 percent do. Among employers on Greenhouse, 9.2 percent do. The notice in most of those cases appears to be furnished by the platform rather than written by the employer.

No employer publishes an audit while omitting the notice. The zero in Table 1 is a real pattern. Every employer that got as far as an audit also posted a notice. The reverse is common, which suggests the notice is the cheaper obligation and often the only one attempted.

Section Six models aggregate exposure across three scenarios, from roughly \$149,500 under conservative assumptions to approximately \$233.4 million under maximum statutory assumptions. Both rest on stated inputs and neither predicts enforcement.

SECTION TWO

Method of Classification

The source dataset contains 302 employer records. Each record carries a verified careers page, an identified applicant tracking system, a count of live New York roles, an example verified New York posting, and two research findings: whether a bias audit summary was found and whether a candidate notice was found.

Two records were set aside before analysis. One employer had a candidate notice status of "Not checked" and could not be classified on that requirement, so it is excluded from all rates. A second employer, recorded as making no use of an automated employment decision tool, is reported separately because neither obligation attaches where no covered tool is in use. That employer is named nowhere in this report and is not counted as compliant or non compliant.

One further record carried an audit status of "Not checked" and has been treated as audit not found, on the instruction of the data owner. That treatment is conservative in the direction of non compliance and affects one row.

The resulting figures are 301 employers analyzed, 1 employer outside the obligation because no covered tool is in use, and 300 employers in scope for the compliance rate. All percentages in this report use 300 as the denominator unless stated otherwise.

Table 2. Reconciliation from source file to analyzed sample.

Step	Records
Rows present in source dataset	302
Less: candidate notice not checked, unclassifiable	1
Analyzed sample	301
Less: reports no use of a covered tool	1
In scope for compliance rate	300

SECTION THREE

Non Compliance by Industry

Industry does almost nothing to distinguish audit compliance, because audit compliance is close to absent everywhere. Twenty one of the twenty two industry categories show a 100 percent audit failure rate. Financial Services is the only category containing the single compliant employer, which produces a 97.5 percent rate rather than 100 percent.

Where industry does separate is the notice requirement. That column ranges from 50.0 percent to 100.0 percent failure and is worth reading on its own.

Table 3. Failure rates by industry. Categories with fewer than ten employers are marked and should not be read as reliable rates.

Industry	n	Non compliant	Rate	Audit fail	Notice fail
Financial Services	40	39	97.5%	97.5%	90.0%
Enterprise Software	38	38	100.0%	100.0%	52.6%
AdTech and MarTech	25	25	100.0%	100.0%	72.0%
Advertising and Marketing Services	25	25	100.0%	100.0%	84.0%
Data and Analytics	24	24	100.0%	100.0%	79.2%
Fintech	24	24	100.0%	100.0%	58.3%
Media and Entertainment	22	22	100.0%	100.0%	77.3%
Consumer Products and Retail	14	14	100.0%	100.0%	85.7%
Crypto and Digital Assets	14	14	100.0%	100.0%	50.0%
Nonprofit and Social Impact	11	11	100.0%	100.0%	100.0%
Health Tech	10	10	100.0%	100.0%	90.0%
Education and EdTech	9	9	100.0%	100.0%	88.9%
Fashion and Apparel	8	8	100.0%	100.0%	100.0%
Food and Beverage	8	8	100.0%	100.0%	87.5%
Healthcare Services	8	8	100.0%	100.0%	100.0%
Professional Services	7	7	100.0%	100.0%	100.0%
Real Estate and PropTech	4	4	100.0%	100.0%	75.0%
Energy and Sustainability	2	2	100.0%	100.0%	100.0%
Government and Public Sector	2	2	100.0%	100.0%	50.0%
Legal Services	2	2	100.0%	100.0%	100.0%
Travel and Hospitality	2	2	100.0%	100.0%	100.0%
Transportation and Logistics	1	1	100.0%	100.0%	100.0%

Industry	n	Non compliant	Rate	Audit fail	Notice fail
All industries	300	299	99.7%	99.7%	77.7%

Eleven categories carry fewer than ten employers and are shown in grey. Rates drawn from two or four observations move by twenty five to fifty percentage points on a single record and should be read as descriptive of those specific employers, not as industry estimates.

Among categories large enough to support a rate, Enterprise Software shows the lowest notice failure at 52.6 percent and Crypto and Digital Assets the lowest overall at 50.0 percent. Nonprofit and Social Impact fails the notice requirement in every one of its eleven records. Financial Services, the largest category at forty employers, fails the notice requirement in ninety percent of cases despite containing the sample's only compliant employer.

SECTION FOUR

Non Compliance by Employer Size and by Platform

Employee size band

Size does not predict compliance in this sample. All three bands fail at essentially the same rate, and the single compliant employer sits in the smallest band.

Table 4. Failure rates by estimated headcount band.

Headcount band	n	Non compliant	Rate	Audit fail	Notice fail
200 to 500	148	147	99.3%	99.3%	77.7%
500 to 1,000	79	79	100.0%	100.0%	75.9%
1,000 to 2,000	73	73	100.0%	100.0%	79.5%
All bands	300	299	99.7%	99.7%	77.7%

Notice failure varies by less than four percentage points across the three bands. Larger employers are not doing better. The sample covers a narrow size range, roughly 200 to 2,000 employees, so this finding does not extend to employers above or below that range.

Applicant tracking system

Platform is the one variable in this study with a clear and large association, and it operates on the notice requirement only.

Table 5. Failure rates by applicant tracking system.

Platform	n	Non compliant	Rate	Audit fail	Notice fail	Notice present
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Platform	n	Non compliant	Rate	Audit fail	Notice fail	Notice present
Greenhouse	250	249	99.6%	99.6%	90.8%	9.2%
Ashby	26	26	100.0%	100.0%	3.8%	96.2%
Lever	24	24	100.0%	100.0%	20.8%	79.2%
All platforms	300	299	99.7%	99.7%	77.7%	

The data supports an association between platform and the candidate notice. Notice presence runs 9.2 percent on Greenhouse, 79.2 percent on Lever, and 96.2 percent on Ashby. The gap between Greenhouse and Ashby is roughly eighty seven percentage points. Cell sizes of 26 and 24 are small in absolute terms, but a difference of this magnitude is not plausibly sampling noise. The likeliest explanation, consistent with the pattern of near identical notice wording observed during collection, is that Ashby and Lever render a standard notice at the board level while Greenhouse leaves the notice to the employer.

No association appears between platform and the bias audit. Audit failure is 99.6 percent, 100.0 percent, and 100.0 percent across the three platforms. There is no variation to explain. An employer that changes platform should expect its notice posture to change and its audit posture to stay exactly where it is.

One caution applies to the whole table. Greenhouse accounts for 250 of 300 records. Ashby and Lever are thin by comparison, and any finer breakdown of those two platforms, by industry or by size, would rest on single digit cells and is not attempted here.

SECTION FIVE

Vendor Published Audit Summaries

Four employers in this sample publish or link a bias audit summary produced by a tool vendor rather than by or for the employer. None of the four is counted as compliant on the audit requirement, and the reason is worth setting out plainly.

Under the Department of Consumer and Worker Protection rules, the employer is responsible for the bias audit. A vendor is not. An employer may rely on a bias audit conducted using the historical data of other employers only in narrow circumstances. Section 5-302(a) of the rules permits that reliance where the employer supplied its own historical data from its use of the tool to the independent auditor, or where the employer has never used the tool. An employer that has been running a tool for a year, contributed no data to the audit, and points candidates to the vendor's aggregate summary does not sit inside either exception.

An individual employer or employment agency may rely on a bias audit of an AEDT that uses the historical data of other employers or employment agencies only in the following circumstances: if such employer or employment agency provided historical data from its own use of the AEDT to the independent auditor conducting the bias audit or if such employer or employment agency has never used the AEDT.

Content matters as much as provenance. Section 5-303(a)(1) requires the published summary to state the source and explanation of the data used, the number of individuals assessed who fall in an unknown category, the number of applicants or candidates, the selection or scoring rates as applicable, and the impact ratios for all categories. A vendor summary computed across a pooled population of many customers reports the vendor's aggregate figures. It does not report the employer's selection rates, and it cannot, because the employer's applicants are a fraction of the pool.

Table 6. Employers relying on a vendor produced summary, shown in aggregate.

Reliance pattern	Employers	Share of 300
Vendor summary published, candidate notice also present	3	1.0%
Vendor summary published, no candidate notice	1	0.3%
Total relying on a vendor summary	4	1.3%

Observations recorded during collection sharpen the point. Of the four, one links a summary whose stated population runs to roughly ten million applicant assessments pooled across every customer of the tool. Another links two vendor summaries hosted on domains the employer does not control, both of which were unreachable to an automated reader at the time of collection. A third publishes a summary carrying an explicit statement from the auditor that the report reflects controlled test conditions and should not be read as a compliance determination.

Each of those four employers is closer to compliance than the 295 with nothing at all. Each is also exposed. The published artifact creates an appearance of diligence that the artifact itself does not support, and an employer in that position may believe the requirement is discharged when it is not.

A vendor summary is capable of satisfying the rule where the reliance conditions in Section 5-302(a) are met. This report cannot determine from public information whether any of the four employers supplied historical data to the auditor. The classification here reflects what the published summary shows on its face.

SECTION SIX

Modeled Statutory Exposure

This section models the maximum civil penalty arithmetic that the statute permits against the observed sample. It is a bounding exercise. It is not a prediction of enforcement, and the closing paragraph of this section explains why the distinction is material.

Section 20-872 of the Administrative Code sets a civil penalty of not more than \$500 for a first violation and each additional violation occurring on the same day as the first, then \$500 to \$1,500 for each subsequent violation. Each day an automated employment decision tool is used in violation of Section 20-871(a) is a separate violation. Each failure to provide a required notice under Section 20-871(b) is a separate violation.

Two structural choices drive the range. The first is whether a violation attaches to the employer or to each open role. The second is how many days of continued use are counted. Both are stated explicitly below rather than buried in the arithmetic.

Table 7. Assumptions underlying each scenario. Every input is stated; none is implied.

Assumption	Conservative	Intermediate	Maximum statutory
Non compliant employers	299	299	299
Violations counted per employer	One, regardless of how many requirements failed	One per failed requirement	One per failed requirement, per open role
Total violation instances	299	532	5,304
Live New York roles counted	Not used	Not used	2,945
Days of exposure assumed	1	1	30
Rate applied, first day	\$500	\$500	\$500
Rate applied, each later day	Not applied	Not applied	\$1,500
Modeled exposure	\$149,500	\$266,000	\$233,376,000

The conservative scenario assumes the regulator treats each employer as having committed a single first violation on a single day and applies the statutory maximum for a first violation. It produces \$149,500 across the sample, an average of \$500 per employer.

Under the intermediate scenario, the audit failure and the notice failure count as separate violations, which the statute's structure supports, and holds the exposure to one day at the first violation rate. Because 233 employers fail both requirements and 66 fail only the audit requirement, the instance count rises to 532 and the modeled figure to \$266,000.

Maximum statutory assumptions count each failed requirement against each live New York role, producing 5,304 violation instances, and assume thirty days of continued use. Day one is priced at \$500 per instance and the remaining twenty nine days at \$1,500 per instance. The result is \$233,376,000, of which \$2,652,000 arises on the first day and \$230,724,000 accumulates thereafter.

Table 8. Distribution of live New York roles across the 299 non compliant employers.

Measure	Roles
Total live New York roles	2,945
Median roles per employer	6
Mean roles per employer	9.8
Largest single employer	77
Employers posting twenty or more roles	33

Role counts are heavily skewed. A median employer posts six roles while thirty three employers post twenty or more, so per role models concentrate exposure heavily in a small group. Any figure derived from the role count should be read with that concentration in mind.

Remote roles extend the exposed population

Counting only roles physically located in New York City understates the exposed population. The rule reaches employers using a covered tool for jobs located in the city at least part time, and for remote positions where the location associated with the position is an office in New York City. An employer with a New York office that posts a remote role open to New York applicants may therefore fall within scope on that role.

Guidance has not fully settled what association means in practice. Whether it is established by a remote employee reporting to a New York manager, by occasional attendance at a New York office, or by payroll issued from that office remains unclear. The practical consequence is directional and firm. Table 8 counts only roles the dataset identifies as New York based, so true exposure is likely higher than those counts imply. This report does not model remote roles, because the dataset does not record them separately, and estimating them would require assumptions the data cannot support.

Why this is a ceiling and not a forecast

Observed enforcement bears no resemblance to these figures. A December 2025 audit by the New York State Comptroller examining the period from July 2023 through June 2025 reported that the Department of Consumer and Worker Protection received two complaints concerning automated employment decision tools during that window. The audit criticized the complaint intake process, the absence of continuing educational outreach, and the depth of compliance review. Reviewing the same set of thirty two companies the department had surveyed, the auditors identified at least seventeen instances of potential non compliance where the department had found one.

Read together, the two facts define the risk. Statutory exposure is very large and largely theoretical today. Enforcement capacity has been documented as weak by the state's own auditor, and that same audit creates pressure to strengthen it. An employer weighing remediation cost against penalty risk should treat the maximum statutory figure as a bound on the downside rather than an expected value, while recognizing that the gap between the bound and observed enforcement is a policy choice that can change.

SECTION SEVEN

A Compliant Example

One employer in this sample meets both requirements. **IEX Group**, the operator of the Investors Exchange, is named here because naming a positive model is useful and carries none of the risk that attaches to naming a shortfall.

IEX satisfies the audit requirement in form. Its disclosure identifies the tool by name, Autopilot, supplied by the vendor Juicebox. It names the independent auditor, Warden AI. It carries an audit date of 3 February 2026 and a distribution date of 27 April 2026, which places the distribution date inside the twelve month window the rule contemplates. Naming the tool, the auditor, and both dates is the part most employers omit entirely.

On the second requirement, IEX relies on a dedicated notice reachable from its job postings rather than through a platform default. The notice describes what the tool does, tells candidates that an alternative selection process may be requested, and gives a named contact address for making that request. The dataset records a candidate notice present on its verified New York posting, and the employer maintains ten live New York roles.

Timing is the element worth copying. The rules require notice at least ten business days before use of the tool. A notice published on the careers page and carried on the posting itself, ahead of any application being screened, satisfies that sequencing. A notice added after screening has begun does not cure the earlier use.

Candor about the limits of this example is warranted. The underlying vendor report supporting the IEX disclosure states that it is provided for demonstration purposes only, that it reflects behavior under controlled test conditions, and that it should not be interpreted as a formal certification or compliance determination. Its sample sizes are uniform across demographic cells in a pattern characteristic of synthetic test data rather than live applicant flow. Section 5-302(b) permits reliance on a bias audit using test data where insufficient historical data exists to conduct a statistically significant audit, so a test data audit is not automatically deficient. An employer building on this model should reach for its own applicant data where the volume supports it.

IEX demonstrates the complete shape of the obligation, and no other employer in the sample does. The disclosure names a tool and an independent auditor, carries an audit date and a distribution date, sits in public, and is paired with a candidate notice that reaches candidates before screening rather than after.

SECTION EIGHT

Methodology and Limitations

Data was collected by Greenpoint AI Compliance between 2 September and 7 September 2026 from publicly available sources. No login, paywall, or private access was used. Collection proceeded in three passes.

The first pass searched each employer's own corporate domain for a published bias audit summary, using keyword searches, enumeration of the site's sitemap and robots file, and direct retrieval of legal and careers pages. The second pass examined the employer's applicant tracking system board for platform level notices. The third pass opened an individual job posting located in New York City or listed as remote and read its full text for candidate notice language.

Every affirmative finding recorded in the source dataset was retrieved and read a second time before entry. That verification step was added after an early error in which a notice reported on one employer's posting proved to originate from a different employer's board. The affected record was corrected before this analysis.

Limitations that bear on how these figures should be used:

- A posting level observation reflects one posting on one day. An employer may carry a notice on other postings that this study did not open. Notice failure rates are therefore an upper bound on failure at the employer level.
- Absence of a published summary is evidence that none was found, not proof that none exists. A summary behind a robots exclusion, on a domain the employer does not control, or reachable only by a path not enumerated would read as absent.
- Two employers in the source file blocked automated retrieval on every path to their corporate domains. Both are recorded as audit not found and both are included in the rates. Their true status is unknown.
- The sample is a convenience sample of employers with verified live New York postings in the 200 to 2,000 headcount range. It is not a random sample of covered employers and does not support inference to the full population.
- Whether an employer is in fact covered by Local Law 144 depends on how it uses the tool, which is not observable from outside. This study observes disclosure practice. It does not determine legal coverage or make a legal finding against any employer.
- The Sub-Industry field in the source dataset contains 287 distinct values across 302 records and functions as free text. No breakdown by that field is attempted.

All figures in this report trace to the source dataset. Where a value could not be verified, the record was excluded and the exclusion is stated in Section Two. No industry, headcount, or compliance status has been inferred for any record where the underlying data is missing.

Educational purposes and no legal advice. This report is prepared for educational and informational purposes. It reflects a point in time observation of publicly available information gathered between 2 September and 7 September 2026, and hiring pages change frequently. Nothing here constitutes legal advice, and no attorney client relationship is created by its distribution or use. Compliance with New York City Local Law 144 depends on facts specific to each employer's tools, data, and hiring processes that cannot be determined from public information alone. Employers should consult qualified counsel regarding their own obligations.

No employer other than the compliant example identified in Section Seven is named, and the aggregate presentation is designed so that individual non compliant employers cannot be identified.

Data collection and authorship: Greenpoint AI Compliance. Statutory references are to New York City Administrative Code Sections 20-870 through 20-874 and to the Department of Consumer and Worker Protection final rules at Sections 5-300 through 5-304. Enforcement observations cite the Office of the New York State Comptroller audit of Local Law 144 enforcement published 2 December 2025.